Situation 1

Issue 1 – Direct financial holdings

1. ISSUE: The shares which you inherited from you grandfather represent a **self-interest** threat.
2. IMPLICATION: You have a direct financial holding in Tangerine (an audit client), which may impair your objectivity as it is in your best interest for Tangerine to be profitable. You may therefore not be sufficiently professionally sceptical during the audit.
3. APPLY GUIDANCE: There are no exceptions to direct holdings. The self-interest threat created is so significant that no safeguards can be implemented. You must therefore inform your audit firm immediately and be removed from the audit engagement.

Issue 2 – Long association of audit partner

1. ISSUE: Kevin has been the audit partner on the audit of Tangerine (a listed company) for 6 years which creates a **familiarity** threat
   [Note – self-interest and self-review threats are also relevant here, however the reference in the question to "strong relationship with the financial director" suggests that the familiarity threat is most prevalent]
2. IMPLICATION: His long association with the audit engagement may mean that Kevin has become too familiar with and trusting of the client, especially the FD with whom he has a personal relationship. This may result in in less professional scepticism being exercised and the possibility of material misstatements remaining undetected.
3. APPLY GUIDANCE: The engagement partner for a listed company should be rotated after five years, with limited flexibility to increase this by two years. Kevin could therefore stay on as audit partner for one more year, provided that appropriate safeguards were put in place such as an expanded review of the audit work by the engagement quality reviewer.

Issue 3 – Loan from audit client

1. ISSUE: A loan was accepted by Kevin's wife from Tangerine in order to start her own fashion brand which has given rise to a **self-interest** threat
   [Note – students may also make a valid case for an intimidation threat here]
2. IMPLICATION: Although this loan was made to Kevin's wife rather than to Kevin, she is his immediate family and so ethical guidance must be applied. It is likely that Kevin's objectivity may be impaired, as he may not wish to challenge the work of the FD, given that his wife's business is financially dependent on Tangerine. It is also in Kevin and his wife's self-interest for Tangerine to be profitable, so that the finance is not withdrawn.
3. APPLY GUIDANCE: As Tangerine is not a bank or similar lending institution, there are no safeguards that can eliminate this threat or reduce it to an acceptable level. As the loan has been accepted, Kevin must be removed from the engagement.

Situation 2

Issue 1 – Audit staff on loan to audit client

1. ISSUE: An audit senior joining an audit client on a 6 month secondment creates a **self-review** threat
   [Note – students may also make a valid case for a familiarity threat here]
2. IMPLICATION: On returning to the audit firm, if the senior rejoins the audit team, they are unlikely to be critical of their own work or decisions they made. Even if they were not assigned to the audit of MM, the assigned audit team may tend to over-rely on areas worked on by a colleague during the period of their temporary assignment. They may also be unlikely to sufficiently challenge, and therefore not exercise enough professional scepticism when dealing with, work performed by the seconded individual.
3. APPLY GUIDANCE: There are no safeguards which can be applied to acceptably reduce or eliminate these threats, therefore the secondment opportunity should be declined.

Issue 2 – Gift of meals

1. ISSUE: If an audit senior is seconded to MM, Maisie is offering Regina 6-months of free ready meals which may create a **self-interest** threat
2. IMPLICATION: Regina may overlook issues at the audit client during the period she is receiving the meals. The gift could also be seen as a bribe. Gifts can only be accepted where the value is clearly trivial – 6-months of free meals is unlikely to be trivial to Regina.
3. APPLY GUIDANCE: The gift should not be accepted. Regina should discuss this with the engagement partner and the firm's ethics partner, and record the offer in her firm's gifts and hospitality register, if one is maintained.

Issue 3 – Indirect financial holding

1. ISSUE: Regina's husband has an indirect financial holding in MM through his pension scheme. Financial interest in an audit client has the possibility to create a **self-interest** threat
2. IMPLICATION: As her husband is Regina's immediate family, the ethical guidance must be applied to him. Financial interest in an audit client can impair an auditor's objectivity and reduce the level of professional scepticism applied due to a personal interest in the success of the business.
3. APPLY GUIDANCE: Indirect financial interests are permissible, as long as these are immaterial and the person holding the indirect interest has no influence over investment decisions. Regina should confirm the size of the holding and whether her husband has an influence over the investment decisions of the pension scheme. If it is immaterial and he has no influence, the holding can be retained, otherwise Regina may need to disclose this and be removed from the audit team.

Situation 3

Issue 1 – Personal relationship

1. ISSUE: Jonnie has a close relationship with a person at the audit client (the CFO, his father), creating a **self-interest** threat.
   [Note – students may also make a valid case for an intimidation or a familiarity threat here]
2. IMPLICATION: Jonnie's father can exert significant influence over the financial statements. Jonnie's judgement and objectivity may be impaired, as he wants to impress his father (particularly given their challenging relationship) and so would be unlikely to challenge his father's work or decision-making. He therefore may not be sufficiently sceptical during the audit.
3. APPLY GUIDANCE: Jonnie should report within his firm that this relationship which may compromise independence exists. Due to the closeness of the relationship, and the senior role which his father holds, Jonnie should be removed from the audit engagement.

Issue 2 – Overdue audit fees

1. ISSUE: There is a significant outstanding audit fee and the FD has not committed to a repayment date saying that this will be repaid 'in the future' which results in a **self-interest** threat
2. IMPLICATION: The amount in dispute is significant. The firm may be more inclined to issue an unmodified audit opinion if it enhances its prospects of recovering the fee. The objectivity of the audit firm may therefore be impaired
3. APPLY GUIDANCE: The ethics partner at the audit firm should be notified and a review of the audit work should be performed by a partner not involved in the audit. If the threat cannot be reduced to an acceptable level, then the firm should resign.

Issue 3 – Hospitality

1. ISSUE: The FD has offered Lynn and the audit team hospitality in the form of a fine-dining dinner. Accepting the hospitality would create a **self-interest** threat
2. IMPLICATION: The independence and professional competence and due care of the audit team may be compromised. The audit team may overlook the issue of the overdue audit fees, or any other issues arising on the audit. Gifts and hospitality can only be accepted where the value is clearly trivial.
3. APPLY GUIDANCE: The offer of the fine-dining meal should be declined. Lynn should discuss this with the firm's ethics partner, and record the offer in her firm's gifts and hospitality register, if one is maintained.

Situation 4

Issue 1 – Dependence on one client

1. ISSUE: Sunshine is the largest audit client for K&W. If K&W are perceived to be dependent on Sunshine, this can create a **self-interest** threat.
   [Note – students may also make a valid case for an intimidation threat here]
2. IMPLICATION: It looks likely that the audit fee will be almost 16% of annual fee income this year. Retaining the audit client is therefore very valuable to the audit firm in terms of revenue, and so the audit team may be less likely to challenge the client or identify misstatements in case Sunshine decides to look for a new auditor.
3. APPLY GUIDANCE: Total recurring fees are not permitted to regularly exceed 15% of annual fee income for a non-listed client. Unless their annual fee income from other sources increases, K&W should resign as auditor.

Issue 2 – Business venture

1. ISSUE: K&W is in discussion to lease an office from Sunshine. This constitutes a business relationship and gives rise to a **self-interest** threat.
   [Note – students may also make a valid case for an intimidation threat here]
2. IMPLICATION: This involves a common commercial interest and may threaten the auditor's independence. The auditor may not be sufficiently sceptical, as they may not wish to raise issues in case Sunshine threatens to terminate the lease.
3. APPLY GUIDANCE: Business relationships are only permitted where the transaction is in the normal course of business and is not material to either party. While Sunshine is a property company, it appears that they may be offering the premises to K&W at a below market rate. As K&W currently only has one office, the transaction is likely to be material for K&W. Therefore K&W should not enter into this lease.

Issue 3 – Audit team member joining the client

1. ISSUE: The audit manager, Darren, has accepted a job to join the audit client, Sunshine, as financial controller which creates a **familiarity** threat.
   [Note – students may also make a valid case for a self-interest or an intimidation threat here]
2. IMPLICATION: Darren is joining the Sunshine finance team in a managerial position. Darren might be motivated by a desire to impress the Sunshine and therefore his independence may be impaired. He is also likely to have too much knowledge of the firm's systems and procedures.
3. APPLY GUIDANCE: In order to reduce this threat to an acceptable level, the audit plan should be modified to incorporate more unpredictability. Thirza should ensure that the audit team has senior members who have sufficient experience to apply judgement, and may involve an additional professional accountant not involved with the engagement to review the work done.

Situation 5

Issue 1 – Audit client staff joins audit team

1. ISSUE: Felix was previously a payroll manager at the audit client WA, and has joined the audit firm L&J. Including Felix in the current year audit team may create a **self-review** threat
   [Note – students may also make a valid case for a self-interest or a familiarity threat here]
2. IMPLICATION: Felix may be required to report on work which he originally prepared or elements of the financial statements which he had responsibility for. He may therefore not approach the audit with sufficient professional scepticism.
3. APPLY GUIDANCE: It would be advisable for Felix not to join the WA audit team. If he does join the team, safeguards would need to be implemented. These should take into account the position Felix held at the audit client (payroll manager). Felix should not audit any areas which he has previously worked on, so should not be involved in the audit of payroll. His audit work should be subject to additional reviews to ensure he has been sufficiently sceptical.

Issue 2 – Dependence on non-audit services

1. ISSUE: L&J provides substantial non-audit services to WA which may create a **self-interest** threat
   [Note – students may also make a valid case for an intimidation threat here]
2. IMPLICATION: In the current year fees for non-audit services are expected to be 75% of the statutory audit fee. This creates a perceived self-interest threat to independence, as the audit team may be hesitant to raise misstatements for fear that WA will move their non-audit services elsewhere.
3. APPLY GUIDANCE: The FRC ES states that the total fees non-audit services in relation to a public interest audit client are capped at 70% of the average of the fees paid over the last 3 years for the audit of the entity. WA is a listed company, so this guidance applies, and the fee cap has been breached. L&J should therefore resign from the audit.

Issue 3 – Potential litigation

1. ISSUE: WA has threatened to sue L&J for work performed on the design and implementation of a web-based sales platform, which creates a **self-interest** threat
   [Note – students may also make a valid case for an intimidation or advocacy threat here]
2. IMPLICATION: L&J will be concerned about losing the client, the possibility that they may be found negligent and bad publicity. This could lead to the firm being under pressure to give an incorrect opinion, impairing the integrity and objectivity of the auditor.
3. APPLY GUIDANCE: An assessment should be made regarding whether the litigation is probable. If it is, L&J should not continue with the audit engagement.

Situation 6

Issue 1 – Contingent fee

1. ISSUE: The partners are considering accepting engagements on a contingent fee basis whereby a bonus is paid if no material misstatements are raised during the audit. This creates a **self-interest** threat to independence as the auditor.
2. IMPLICATION: would encourage the audit team to overlook potential misstatements in order to achieve the bonus fee. The fee should reflect the time spent and the skills and experience of the audit team. It does not depend on the audit opinion given.
3. APPLY GUIDANCE: An audit should not be undertaken on a contingent fee basis as the self-interest threat that arises would be so significant that no is possible. Therefore, this suggestion should not be implemented.

Issue 2 – Provision of non-audit services

1. ISSUE: The partners are considering expanding the range of non-audit services on offer to include internal audit, which creates the risk of a several threats to independence including a **self-review** threat.
2. IMPLICATION: The audit team may have to review the results of suggestions made by themselves in the role of internal audit. This will impair their ability to be sufficiently professionally sceptical and objective.
3. APPLY GUIDANCE: An audit firm shall not provide internal audit services to any audit client. This prohibition applies to all audits, whether of a listed or an unlisted company. Therefore, this suggestion should not be implemented.

Issue 3 – Remuneration for selling non-audit services

1. ISSUE: The partners are considering setting targets for audit managers to encourage them to sell more non-audit services. They will receive commission if these targets are reached, creating a **self-interest** threat.
2. IMPLICATION: The auditor's independence and objectivity may be impaired, as it would be in the best interests of audit managers to sell as many non-audit services as possible to maximise the commission they would receive.
3. APPY GUIDANCE: No safeguard is possible, as the self-interest threat is so great. Auditors should therefore not be remunerated, appraised or given bonuses based on the selling of non-audit services to audit clients. The focus for evaluation and remuneration should be audit quality. Therefore, this suggestion should not be implemented.